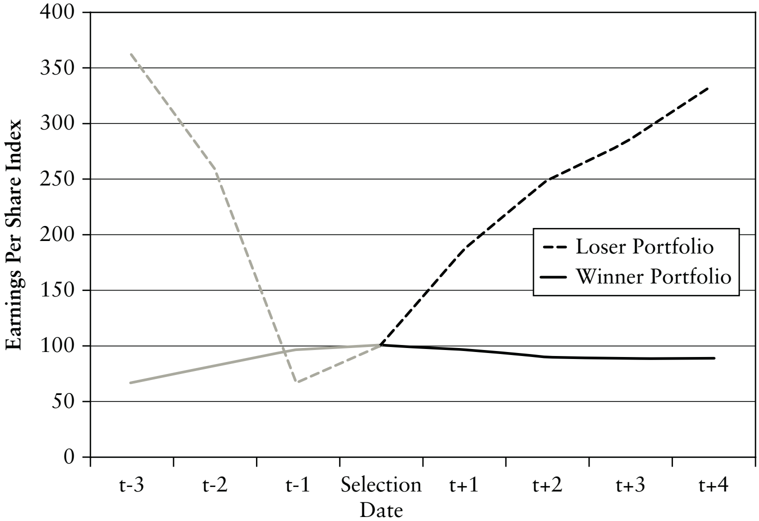

FIGURE 5.2 Change in Average Earnings Per Share for Stocks in Winner and Loser Portfolios (1966 to 1983)
Source: Eyquem Investment Management LLC using data from Werner F.M. De Bondt and Richard H. Thaler. "Further Evidence on Investor Overreaction and Stock Market Seasonality?" *Journal of Finance* 42 (3) (1987): 557–581.

portfolio—the stocks with the largest market price declines—saw far superior earnings performance in comparison to the Winner portfolio—the stocks with the largest increases in market price. The Loser portfolio also delivered superior stock price performance in the four years after the selection date, gaining a cumulative 24.6 percent over the market. Over the same period the stocks in the Winner portfolio returned 11.7 percent *less* than the market.

De Bondt and Thaler noted in the second paper that the winner-loser effect they had observed in the first paper was likely an overvalued-undervalued effect because Loser firms tended to have lower price-to-book value ratios while the Winner firms tended to have higher price-to-book value ratios. To examine precisely this point, they conducted another examination of the data, categorizing the portfolios not on the basis of how much the stock price had gone up or down, but by how under- or overvalued each was. They ranked the stocks by market price-to-book value, and then characterized the cheapest fifth of stocks as the Undervalued portfolio, and the most expensive fifth of stocks as the Overvalued portfolio. Figure 5.3 shows the change in average earnings per share for the Undervalued and Overvalued